

WINDROCK
— LAND CO. —
ESTABLISHED 1872

ANNUAL REPORT
2021

WINDROCK LAND COMPANY

Water's Edge
614 Mabry Hood Road, Suite 301
Knoxville, TN 37932

2021

DIRECTORS

THOMAS M. AYRES Knoxville, Tennessee
ALLEN J. BUSH Blytheville, Arkansas
ANDREW J. BUSH Sevierville, Tennessee
MILES E. CULLOM, JR. Knoxville, Tennessee
LAWRENCE M. GILPIN Linden, Virginia
LEWIS S. HOWARD, JR. Knoxville, Tennessee
GEORGE A. ROZANSKI..... Columbia, Maryland

OFFICERS

LEWIS S. HOWARD, JR.
Chief Executive Officer Knoxville, Tennessee

WILLIAM S. LYON, III,
Chief Operating Officer Knoxville, Tennessee

CLAUDIA P. DEPEW,
Chief Financial Officer Maryville, Tennessee

WANDA H. TILLER,
Corporate Secretary..... Knoxville, Tennessee

WINDROCK

— LAND CO. —

ESTABLISHED 1872

February 24, 2022

To Our Shareholders:

We are pleased to report that both revenue and earnings increased in 2021. Revenue totaled \$9,369,569, an increase of \$1,842,569 over 2020 revenue of \$7,527,000. Earnings increased to \$3,573,040 or \$38.28 per share from \$2,711,097 or \$29.04 per share reported last year. (Excluding Net Unrealized and Realized Gain/Loss on Marketable Securities and related tax effects, earnings were \$26.10 per share vs \$25.90 per share in 2020). Regular dividends of \$12.00 per share and a special dividend of \$2.00 per share were declared and paid to shareholders.

A portion of the Company's investment portfolio was liquidated in the 4th quarter of 2021 to provide funds for the capital improvement projects discussed below. The current financial condition of the Company remains strong with no debt other than the corporate office facility.

Effective December 31, 2021, William S. Lyon, III retired from the Company as Chief Operating Officer. Bill joined the Company in 2007 and was instrumental in spearheading the Company's rapid growth and development of Windrock Park as a destination resort. Bill's leadership, enthusiasm, creativity and unwavering commitment to the success of the Company is greatly appreciated and will be missed. Wanda Tiller, who joined the Company in 2006 and served as Corporate Secretary, also retired on January 31, 2022. Claudia Depew was appointed Chief Operating Officer effective January 1, 2022 and Kristee Atchley was promoted to Chief Financial Officer and Corporate Secretary.

Windrock Park continues to grow as the premier off-road park in the United States and the primary source of revenue for the Company as recreation-related income exceeded \$7,000,000 in 2021. Land use permit sales increased 23%, campground related revenues increased 37% and general store revenues increased 47%. Five new cabins are planned this year along with 40 new RV sites. A new 10,000 square foot general store is currently under construction and scheduled for completion in September. This new facility will triple the size of the current store allowing limited food service, expanded merchandise sales, greater camping related inventory and expansion of SxS rentals. Public restrooms and an outdoor covered dining area will be adjacent to the new store.

Windrock Bike Park now features 38 trails of varying difficulty and will relocate this year to a new trailhead area with expanded rental and retail space, additional parking and an expanded shuttle service area.

In late 2020, the Company acquired the operations of the local office of National Land Realty, a national real estate brokerage company specializing in farm, ranch, hunting, wildlife, timber and recreational land. This acquisition failed to produce meaningful revenue and was divested at the end of 2021 with no monetary loss to the Company.

Revenue from timber operations was \$926,503 last year compared to \$894,323 in 2020. While 2021 timber revenue was consistent with 2020 due to successful bid sales, timber board feet harvested declined due primarily to industry wide labor shortages. 2,707,283 million board feet of timber was harvested in 2021 vs. 3,457,185 harvested in 2020. Prices continue to improve although we expect labor shortages to continue for the relative short term.

As a result of new SEC rules regarding OTC traded companies, fewer brokers are willing to hold and trade the Company stock despite the fact the Company undertook the process to list the stock with OTC and make financial information current and available to the public. Currently, Schwab, TD America and Robotti & Company in New York are willing and able to list and trade the Company stock. The Company was unable to reach a suitable agreement with a third-party transfer agent and elected to continue to act as its own stock transfer agent.

At a meeting held February 17, 2022 the Board of Directors declared a dividend of \$3.00 per share and a special dividend of \$2.00 per share, both payable March 15 to shareholders of record as of February 28.

The annual shareholders' meeting will be held May 26, 2022 at the offices of the Company. We welcome shareholder attendance and participation. A further notice of such meeting and proxy for use by those shareholders unable to attend will be mailed in April.

Audited consolidated financial statements of the company for years ended December 31, 2021 and 2020 will follow.

Sincerely,

A handwritten signature in blue ink, appearing to read 'L. Howard, Jr.', with a stylized flourish extending to the right.

Lewis S. Howard, Jr.
CEO/President



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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors
Windrock Land Company and Subsidiaries
Knoxville, Tennessee

Opinion

We have audited the consolidated financial statements of Windrock Land Company and subsidiaries (the Company), which comprise the consolidated balance sheets as of December 31, 2021 and 2020, the related consolidated statements of income, changes in stockholders' equity, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2021 and 2020, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern within one year after the date that the financial statements are issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.



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In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control–related matters that we identified during the audit.

Pugh & Company, P.C.

Certified Public Accountants
Knoxville, Tennessee
February 11, 2022

**WINDROCK LAND COMPANY
AND SUBSIDIARIES**

CONSOLIDATED BALANCE SHEETS

	As of December 31,	2021	2020
	ASSETS		
CURRENT ASSETS			
Cash	\$	3,552,237	\$ 910,146
Accounts Receivable		70,060	130,914
Refundable Income Taxes		0	209,320
Prepaid Expenses		315,890	216,669
Inventories		221,846	152,692
Total Current Assets		<u>4,160,033</u>	<u>1,619,741</u>
PROPERTY, PLANT AND EQUIPMENT			
Land and Land Improvements		6,948,407	6,948,407
Building and Building Improvements		5,452,999	5,101,508
Other Equipment		2,212,034	1,938,499
		<u>14,613,440</u>	<u>13,988,414</u>
Less: Accumulated Depreciation		5,386,346	4,980,282
		<u>9,227,094</u>	<u>9,008,132</u>
Construction In Progress		235,445	301,851
Property, Plant and Equipment, Net		<u>9,462,539</u>	<u>9,309,983</u>
OTHER NONCURRENT ASSETS			
Marketable Equity Securities		5,665,816	6,984,105
Intangible Assets, Net		0	97,222
Deposits		15,853	17,633
Total Other Noncurrent Assets		<u>5,681,669</u>	<u>7,098,960</u>
Total Noncurrent Assets		<u>15,144,208</u>	<u>16,408,943</u>
TOTAL ASSETS	\$	<u><u>19,304,241</u></u>	\$ <u><u>18,028,684</u></u>

The accompanying notes are an integral part of these financial statements.

**WINDROCK LAND COMPANY
AND SUBSIDIARIES**

CONSOLIDATED BALANCE SHEETS (Continued)

	As of December 31,	2021	2020
LIABILITIES AND STOCKHOLDER'S EQUITY			
CURRENT LIABILITIES			
Accounts Payable	\$	91,536	\$ 90,269
Lines of Credit		0	800,337
Property Taxes Payable		347,091	338,071
Income Taxes Payable		52,146	0
Other Accrued Expenses		122,485	177,791
Deferred Revenue		866,869	992,848
Current Portion of Long-Term Debt		30,421	29,230
Total Current Liabilities		1,510,548	2,428,546
LONG-TERM LIABILITIES			
Long-Term Debt, Less Current Portion		546,352	576,466
Deferred Income Taxes		1,203,111	1,245,890
Total Liabilities		3,260,011	4,250,902
STOCKHOLDERS' EQUITY			
Common Stock - No Par Value, \$10 Stated Value; 500,000 Shares Authorized, 93,328 Shares Issued and Outstanding at December 31, 2021 and 2020		933,280	933,280
Capital in Excess of Stated Value		1,379,252	1,379,252
Retained Earnings		13,731,698	11,465,250
Total Stockholders' Equity		16,044,230	13,777,782
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	\$	19,304,241	\$ 18,028,684

The accompanying notes are an integral part of these financial statements.

**WINDROCK LAND COMPANY
AND SUBSIDIARIES**

CONSOLIDATED STATEMENTS OF INCOME

	For the Years Ended December 31,	2021	2020
REVENUES			
Rental Income	\$	2,325,719	\$ 1,739,514
Recreational Income		3,270,830	2,659,750
General Store Income		1,636,135	1,107,599
Timber Sales		926,500	894,323
Gas and Oil Royalties		469,459	280,573
Wind Power Site Lease Income		91,782	79,885
Tower Site Lease Income		196,527	583,201
Miscellaneous Revenue		452,617	182,155
Total Revenues		9,369,569	7,527,000
OPERATING EXPENSES		6,167,475	5,199,810
OPERATING INCOME		3,202,094	2,327,190
OTHER INCOME (EXPENSE)			
Other Income		6,750	365,231
Interest and Dividend Income		150,022	182,188
Interest Expense		(29,968)	(53,187)
Net Realized Gain (Loss) on Marketable Equity Securities		1,933,716	324,398
Net Unrealized Gain on Marketable Equity Securities		(380,137)	397,658
Total Other Income (Expense)		1,680,383	1,216,288
NET INCOME BEFORE INCOME TAXES		4,882,477	3,543,478
PROVISION FOR INCOME TAX EXPENSE			
Current		1,352,216	640,255
Deferred		(42,779)	192,126
Net Provision for Income Tax		1,309,437	832,381
NET INCOME	\$	3,573,040	\$ 2,711,097
NET INCOME PER SHARE	\$	38.28	\$ 29.04

The accompanying notes are an integral part of these financial statements.

**WINDROCK LAND COMPANY
SUBSIDIARIES**

CONSOLIDATED STATEMENTS OF CHANGES IN STOCKHOLDERS' EQUITY

For the Years Ended December 31, 2021 and 2020

	Common Stock	Capital in Excess of Stated Value	Retained Earning	Total
BALANCES, January 1, 2020	\$ 950,510	\$ 1,404,715	\$ 10,352,995	\$ 12,708,220
Purchase and Retirement of Common Stock	(17,230)	(25,463)	(478,732)	(521,425)
Net Income	0	0	2,711,097	2,711,097
Dividends Paid	0	0	(1,120,110)	(1,120,110)
BALANCES, December 31, 2020	933,280	1,379,252	11,465,250	13,777,782
Net Income	0	0	3,573,040	3,573,040
Dividends Paid	0	0	(1,306,592)	(1,306,592)
BALANCES, December 31, 2021	<u>\$ 933,280</u>	<u>\$ 1,379,252</u>	<u>\$ 13,731,698</u>	<u>\$ 16,044,230</u>

The accompanying notes are an integral part of these financial statements.

**WINDROCK LAND COMPANY
AND SUBSIDIARIES**

CONSOLIDATED STATEMENTS OF CASH FLOWS

For the Years Ended December 31,	2021	2020
CASH FLOWS FROM OPERATING ACTIVITIES		
Net Income	\$ 3,573,040	\$ 2,711,097
Adjustments to Reconcile Net Income to Net Cash		
Provided by (Used in) Operating Activities:		
Depreciation and Amortization	631,223	552,569
Net Realized (Gain) Loss on Sales of Marketable		
Equity Securities	(1,933,716)	(324,398)
Net Unrealized (Gain) Loss on Sales of Marketable	380,137	(397,658)
Equity Securities		
(Gain) Loss on Sales of Equipment	53,012	(14,104)
Deferred Income Tax Expense	(42,779)	192,126
Forgiveness of Small Business Administration Loan	0	(363,200)
Changes in Operating Assets and Liabilities:		
Accounts Receivable	60,854	(70,819)
Refundable Income Taxes	209,320	(109,245)
Prepaid Expenses	(99,221)	(216,669)
Inventories	(69,154)	(39,859)
Accounts Payable and Other Accrued Expenses	(52,259)	76,230
Property Taxes Payable	9,020	97,112
Income Taxes Payable	52,146	0
Deferred Revenue	(125,979)	313,458
Net Cash Provided by Operating Activities	2,645,644	2,406,640
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from Sale of Property, Plant and Equipment	44,077	83,904
Purchases of Property, Plant and Equipment	(783,646)	(1,165,839)
Purchases of Intangible Assets	0	(100,000)
Proceeds from Sales of Marketable Equity Securities	3,284,974	2,395,462
Purchases of Marketable Equity Securities	(413,106)	(1,434,210)
Net Cash Provided by (Used in) Investing Activities	2,132,299	(220,683)
CASH FLOWS FROM FINANCING ACTIVITIES		
Net (Repayment) Borrowings on Lines of Credit	(800,337)	(332,519)
Principal Payments on Long-Term Debt	(28,923)	(27,704)
Proceeds Received from Small Business Administration Loan	0	363,200
Purchase and Retirement of Common Stock	0	(521,425)
Dividends Paid	(1,306,592)	(1,120,110)
Net Cash Used in Financing Activities	(2,135,852)	(1,638,558)
NET INCREASE (DECREASE) IN CASH	2,642,091	547,399
CASH AT BEGINNING OF YEAR	910,146	362,747
CASH AT END OF YEAR	\$ 3,552,237	\$ 910,146
Supplemental Cash Flow Disclosures		
Income Taxes Paid	\$ 1,066,000	\$ 777,500
Interest Paid	\$ 29,968	\$ 53,187

The accompanying notes are an integral part of these financial statements.

**WINDROCK LAND COMPANY
AND SUBSIDIARIES**

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

December 31, 2021 and 2020

NOTE 1 – SIGNIFICANT ACCOUNTING POLICIES

Principles of Consolidation – The accompanying consolidated financial statements include the accounts of Windrock Land Company and its wholly-owned subsidiaries, Windrock Resources, Inc. and Windrock Park, LLC (collectively referred to as the “Company”). Windrock Park, LLC is wholly owned by Windrock Resources, Inc. All intercompany transactions and balances have been eliminated.

Description of Business – The Company owns over 73,000 acres in East Tennessee and generates revenue from its land holdings. The Company has agreements with customers for gas and oil production and has agreements with other customers for timber harvesting. The Company generates income from these customers based on a percentage of revenues derived from the customer’s operations. The Company also has operating lease agreements with certain customers for communication tower and wind power sites. Additionally, the Company provides outdoor recreational opportunities and the operation of rental cabins, a campground, a general store and over 300 miles of off-road trails for ATVs and other off-road vehicles.

Revenue Recognition – The Company recognizes revenue when it satisfies performance obligations as evidenced by the transfer of products or services to customers, in an amount that reflects the consideration the Company expects to be entitled to receive in exchange for those products or services.

In accordance with contract terms, revenue for timber sales, gas and oil royalties is recognized in the period product is harvested or produced by the customer. The Company has recreational fee revenue for ATV and other off-road vehicles through land usage permits that are issued for periods of up to one year. The revenue generated from these fees are recognized on a straight-line basis over the period of the land usage permit. Rental income is primarily derived from the short-term rental of cabins, campsites and ATV vehicles and is recognized over the rental period. The Company owns a general store and has revenues from the sale of goods, which are recognized at the time of the sale. Revenue from the operating lease agreements for communication tower and wind power sites is recognized based on the lease payments received, which approximates the lease payments recognized on a straight-line basis over the term of the lease.

Accounts Receivable – Accounts receivable are generated from the production of gas and oil by customers or contractors who harvest timber on the Company’s property. Accounts are determined to be past due based on contractual terms. It is the Company’s policy not to require collateral on accounts receivable. Accounts are charged to bad debt expense as they are determined to be uncollectible based upon a review of aging and collections. Credit losses, when realized, have historically not been significant.

Deferred Revenue – The Company routinely receives advance gas and oil royalty payments. The Company also receives upfront payments for ATV and other off-road vehicles for land usage permits for use up to one year. The amounts for which payments received have not yet been recognized in revenue have been recorded as deferred revenue in the accompanying consolidated balance sheets.

Inventories – Inventories consist primarily of clothing, food products and supplies in the Company’s retail general store and are valued at the lower of cost or net realizable value using the average cost method.

Property, Plant and Equipment – Property, plant and equipment is recorded at cost. Maintenance and repairs are expensed as incurred, and replacements and improvements are capitalized. Depreciation is determined using the straight-line method over the estimated useful lives of the related assets.

NOTE 1 – SIGNIFICANT ACCOUNTING POLICIES (Continued)

Retirement Plans – The Company sponsors a 401(k) retirement plan covering all eligible employees. This plan allows the Company to make a discretionary matching and profit sharing contribution. The Company made contributions of \$70,923 in 2021 and \$64,208 in 2020 to the plan.

Advertising Costs – Advertising costs are expensed as incurred and totaled \$276,294 in 2021 and \$216,022 in 2020.

Income per Share – Income per share has been computed on the average number of shares outstanding during the year.

Use of Estimates – The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP) requires management to make estimates and assumptions that affect the reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Reclassifications – Some items in the 2020 financial statements have been reclassified to conform with the 2021 financial statements.

Adoption of New Accounting Standards – On January 1, 2021, the Company adopted ASU 2019-12, *Income Taxes (Topic 740): Simplifying the Accounting for Income Taxes*, which is intended to simplify various aspects related to accounting for income taxes. ASU 2019-12 removes certain exceptions to the general principles in ASC 740 and also clarifies and amends existing guidance to improve consistent application. The adoption of this guidance did not result in a significant impact on the consolidated financial statements.

Recent Accounting Pronouncements – In March 2020, the FASB issued ASU 2020-04, *Reference Rate Reform (Topic 848): Facilitation of the Effects of Reference Rate Reform on Financial Reporting*, which provides optional expedients and exceptions for applying U.S. GAAP to contract modifications, hedging relationships, and other transactions affected by the anticipated transition away from LIBOR. The FASB further refined the scope of the guidance in ASU 2021-01, *Reference Rate Reform (Topic) 848: Scope*. The adoption of this guidance is not expected to have a significant impact on the Company's consolidated financial statements.

Subsequent Events – Management has evaluated subsequent events through February 11, 2022, which is the date the consolidated financial statements were available for issuance, and has determined that there are no subsequent events that require disclosure.

NOTE 2 – CONCENTRATIONS OF CREDIT RISK

The Company maintains its cash accounts with certain U.S. financial institutions. The Company may periodically have cash deposited in excess of Federal Deposit Insurance Corporation (FDIC) insurance limits. The cash accounts are insured by FDIC up to \$250,000 per legal ownership.

NOTE 3 – MARKETABLE EQUITY SECURITIES AND FAIR VALUE MEASUREMENTS

FASB Accounting Standards Codification 820, *Fair Value Measurements and Disclosures*, established a framework for measuring fair value, which provides a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements). The three levels of the fair value hierarchy are described as follows:

- | | |
|---------|---|
| Level 1 | Quoted prices in active markets for identical assets. |
| Level 2 | Significant other observable inputs. |
| Level 3 | Significant unobservable inputs. |

NOTE 3 – MARKETABLE EQUITY SECURITIES AND FAIR VALUE MEASUREMENTS (Continued)

The investment's fair value measurement level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. Valuation techniques used need to maximize the use of observable inputs and minimize the use of unobservable inputs. All of the Company's marketable equity securities are valued based on quoted market prices of identical assets on active exchanges (Level 1). The preceding method described may produce a fair value calculation that may not be indicative of net realizable value or reflective of future fair values.

The following table sets forth the fair value of the Company's marketable equity securities within the fair value hierarchy (all Level 1), as of December 31:

	2021	2020
Common Stocks	\$ 1,691,555	\$ 2,999,904
Mutual Funds	1,484,073	1,165,782
Exchange-Traded Funds	2,490,188	2,818,419
Total Marketable Equity Securities at Fair Value	<u>\$ 5,665,816</u>	<u>\$ 6,984,105</u>

NOTE 4 – OPERATING LEASES

The Company has operating lease agreements with customers for tower and wind power sites, which expire at various dates through 2028. These leases generally contain renewal options.

Future minimum lease payments to be received under noncancelable operating leases (with initial or remaining terms over one year) as of December 31, 2021, are as follows:

2022	\$ 139,479
2023	118,227
2024	112,378
2025	95,883
2026	92,642
Thereafter	192,290
Total	<u>\$ 750,899</u>

NOTE 5 – LINE OF CREDIT AGREEMENTS AND LONG-TERM DEBT

The Company has a demand line of credit with a financial institution for borrowings up to a maximum of \$6,500,000. The credit available to the Company under the line of credit agreement may fluctuate and is determined by the financial institution based on the value of eligible collateral pledged to support the line of credit. The Company had borrowings under this line of credit of \$0 and \$800,337 outstanding as of December 31, 2021 and 2020, respectively. Borrowings under this line of credit bear interest at the LIBOR rate plus 1.25% (1.83% at December 31, 2021), with this rate subject to change at the financial institution's discretion. The line of credit is secured by the Company's marketable equity securities.

The Company previously borrowed \$728,000 from a financial institution under a note payable agreement to finance the purchase of a building. The Company had \$576,773 and \$605,696 outstanding on this note payable as of December 31, 2021 and 2020, respectively. This note bears interest at an annual rate of 4% and is due in monthly payments through April 2026. This note is secured by the building purchased, which has a carrying amount of \$822,892 as of December 31, 2021.

The Company had a revolving line of credit agreement with a financial institution providing for maximum borrowings of \$1,500,000. There were no borrowings outstanding under this agreement at December 31, 2021 and 2020. The agreement expired on July 15, 2021 and was not renewed.

NOTE 5 – LINE OF CREDIT AGREEMENTS AND LONG-TERM DEBT (Continued)

Future aggregate maturities of long-term debt are as follows at December 31, 2021:

2022	\$	30,421
2023		31,660
2024		32,950
2025		34,292
2026		<u>447,450</u>
Total	\$	<u><u>576,773</u></u>

On March 27, 2020, Congress enacted the Coronavirus Aid, Relief, and Economic Security Act (CARES Act) which established the Paycheck Protection Program (the “Program”). The Program was created to assist small businesses in paying their employees and certain other expenses during the COVID-19 crisis. The Company applied for and received a loan under the Program in the amount of \$363,200. The Company received a notice of forgiveness from the Small Business Administration forgiving the loan principal and accrued interest in November 2020. As such, the Company recognized \$365,231 as other income for the year ended December 31, 2020.

NOTE 6 – INCOME TAXES

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes.

Significant components of the Company’s net deferred income tax liabilities are as follows at December 31:

	2021	2020
Tax Over Book Depreciation	\$ 191,685	\$ 160,476
Unrealized Gain on Securities Available for Sale	929,440	1,028,789
Other	<u>81,986</u>	<u>56,625</u>
Net Deferred Tax Liabilities	<u><u>\$ 1,203,111</u></u>	<u><u>\$ 1,245,890</u></u>

Significant components of the provision for income tax expense (benefit) are as follows for the years ended December 31:

	2021	2020
Current:		
Federal	\$ 1,016,010	\$ 434,418
State	<u>336,206</u>	<u>205,837</u>
Total Current	<u>1,352,216</u>	<u>640,255</u>
Deferred:		
Federal	(62,285)	142,912
State	<u>19,506</u>	<u>49,214</u>
Total Deferred	<u>(42,779)</u>	<u>192,126</u>
Net Provision for Income Tax Expense	<u><u>\$ 1,309,437</u></u>	<u><u>\$ 832,381</u></u>

The provision for income taxes recognized differs from the amount that would result from applying federal statutory rates to income before income taxes due primarily to permanent differences and state income taxes.

NOTE 7 – RELATED PARTY TRANSACTIONS

The Company incurred expenses of \$80,000 and \$90,000 for the years ended December 31, 2021 and 2020, respectively, for legal services provided by a law firm, a member of which serves as a director of the Company. The Company paid directors' fees of \$175,150 and \$170,150 for the years ended December 31, 2021 and 2020, respectively.

NOTE 8 – EMPLOYEE STOCK PURCHASE PLAN

Effective January 1, 2015, the Company established an employee stock purchase plan that covers all full-time employees with at least one year of employment with the Company prior to the commencement of the plan. Up to 1,000 shares were authorized under this plan which had a term of one year. Under the terms of the plan, the purchase price shall be 80% of the closing share price at specified dates, as defined. The stock purchased under this plan is subject to certain restrictions and cannot be sold unless these restrictions are satisfied and eliminated. These restrictions include stock buyback provisions, at the Company's option, if the employee terminates employment with the Company for any reason other than normal retirement, death, total disability or approved early retirement. These restrictions will be removed upon the employee attaining the age of 65 or on the fifth anniversary of the stock purchase date. All restricted stock issuances have vested and all compensation costs related to the restricted stock have been recognized.



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INDEPENDENT AUDITOR'S REPORT ON SUPPLEMENTARY INFORMATION

Board of Directors
Windrock Land Company and Subsidiaries
Knoxville, TN

We have audited the consolidated financial statements of Windrock Land Company and subsidiaries (the Company) as of and for the years ended December 31, 2021 and 2020 and have issued our report thereon dated February 11, 2022, which contains an unmodified opinion on those consolidated financial statements. Our audits were conducted for the purpose of forming an opinion on the consolidated financial statements as a whole.

The accompanying supplementary information is presented for purposes of additional analysis and is not a required part of the consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the consolidated financial statements as a whole.

Pugh & Company, P.C.

Certified Public Accountants
Knoxville, Tennessee
February 11, 2022



An independently owned member
RSM US Alliance



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Members of the Tennessee Society
Of Certified Public Accountants

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**WINDROCK LAND COMPANY
AND SUBSIDIARIES**

CONSOLIDATED DETAILS OF OPERATING EXPENSES

	<u>2021</u>	<u>2020</u>
Salaries	\$ 2,140,874	\$ 1,938,960
General Store Cost of Sales	716,003	463,896
Consultant Fees	76,462	70,767
Directors' Fees and Expenses	180,511	171,343
Legal Services	82,500	91,556
Recreational Use Expense	77,289	99,940
Insurance	546,575	334,272
Taxes	559,488	507,311
Travel	47,828	32,857
Telephone	49,680	39,490
Supplies	215,561	214,910
Administration and Accounting	28,960	48,487
Employee Retirement Plan	70,923	64,208
Utilities	172,192	154,239
OHV Events	11,651	18,399
Maintenance	203,195	158,505
Depreciation, Amortization and Loss on Sales of Equipment	684,235	538,466
Advertising	276,294	216,022
Miscellaneous	<u>27,254</u>	<u>36,182</u>
Total Operating Expenses	<u>\$ 6,167,475</u>	<u>\$ 5,199,810</u>

See Independent Auditor's Report on Supplementary Information

Windrock Park



The Ponderosa



Truck in Icy Mud

Windrock Park



Pond on Trail 78



Jeep Badge of Honor

Windrock Park



SxS at Sunset on Trail 83



Cabins in Fall

Windrock Park



Company Ride to Brushy Mountain Prison



United States of America